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Annual ITAR Training for Employees

1. Introduction

Welcome to your annual ITAR (International Traffic in Arms Regulations) training. Compliance with ITAR is critical to our business as a U.S. manufacturer of defense-related products and services.

This training ensures that all employees:

- Understand their responsibilities under ITAR.
- Recognize controlled technical data, defense articles, and defense services.
- Know how to properly safeguard export-controlled information.
- Prevent unauthorized exports, disclosures, or transfers.

Failure to comply with ITAR can result in severe civil, criminal, and administrative penalties for both the company and individuals.

2. What is ITAR?

- ITAR is a set of U.S. government regulations administered by the Department of State, Directorate of Defense Trade Controls (DDTC).
- It controls the export and temporary import of defense articles, technical data, and defense services listed on the U.S. Munitions List (USML).
- ITAR applies to all U.S. persons and organizations engaged in the manufacture, export, or brokering of defense-related items.

3. Key Terms

- Defense Article: Any item or component specifically designed, developed, or modified for military use and listed on the USML.
- Technical Data: Blueprints, drawings, process specifications, test data, and software related to defense articles.
- Defense Service: Assistance, training, or technical support related to defense articles.
- Export: Not just shipping overseas. Export includes:
 - * Sending controlled items outside the U.S.
 - * Sharing technical data with a foreign person (even inside the U.S.).
 - * Providing defense services to a foreign person.



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4. Employee Responsibilities

Every employee must:

- Protect ITAR-controlled data and materials.
- Verify citizenship status before sharing controlled information.
- Mark and store ITAR documents properly.
- Use company-approved communication systems for ITAR data.
- Report potential violations immediately to compliance or management.

5. Safeguarding ITAR Data

- Marking: All ITAR-controlled documents must be clearly labeled "ITAR Controlled – Export Controlled."
- Access Control: Only U.S. Persons with a business need may access ITAR data.
- Storage: Secure ITAR documents in locked cabinets or restricted-access digital systems.
- Electronic Transmission: Use encrypted email or secure file transfer only.
- Conversations: Do not discuss ITAR-controlled information in public or with unauthorized personnel.

6. Recognizing Red Flags

Employees should immediately report if they see:

- Requests for controlled data from non-U.S. persons.
- Pressure to bypass company ITAR procedures.
- Technical discussions with unknown vendors or customers.
- Foreign nationals working on ITAR projects without clearance.

7. Penalties for Non-Compliance

- Civil Penalties: Up to \$1,272,251 per violation.
- Criminal Penalties: Up to \$1,000,000 and 20 years imprisonment.
- Company Consequences: Loss of export privileges, loss of government contracts, reputational damage.

8. Case Examples

- An engineer emailed ITAR drawings to a foreign supplier without a license → \$20M fine.
- A technician allowed a foreign intern on the shop floor with ITAR parts visible → company export license revoked.



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- A manager discussed controlled technical data with a non-U.S. person at a trade show → DDTC investigation.

9. Employee Certification

All employees must certify annually that they:

- Have completed ITAR training.
- Understand their responsibilities.
- Will comply with ITAR and company export control policies.
- Will report any suspected violations.

Employee Acknowledgment:

I, _____, acknowledge that I have completed ITAR training and understand my obligations to comply with ITAR regulations and [Your Company Name]'s export control policies.

Signature: _____

Date: _____

10. Questions & Reporting

If you have questions about ITAR compliance or suspect a violation:

Contact the Business Manager or VP of Operations: 256-723-8381